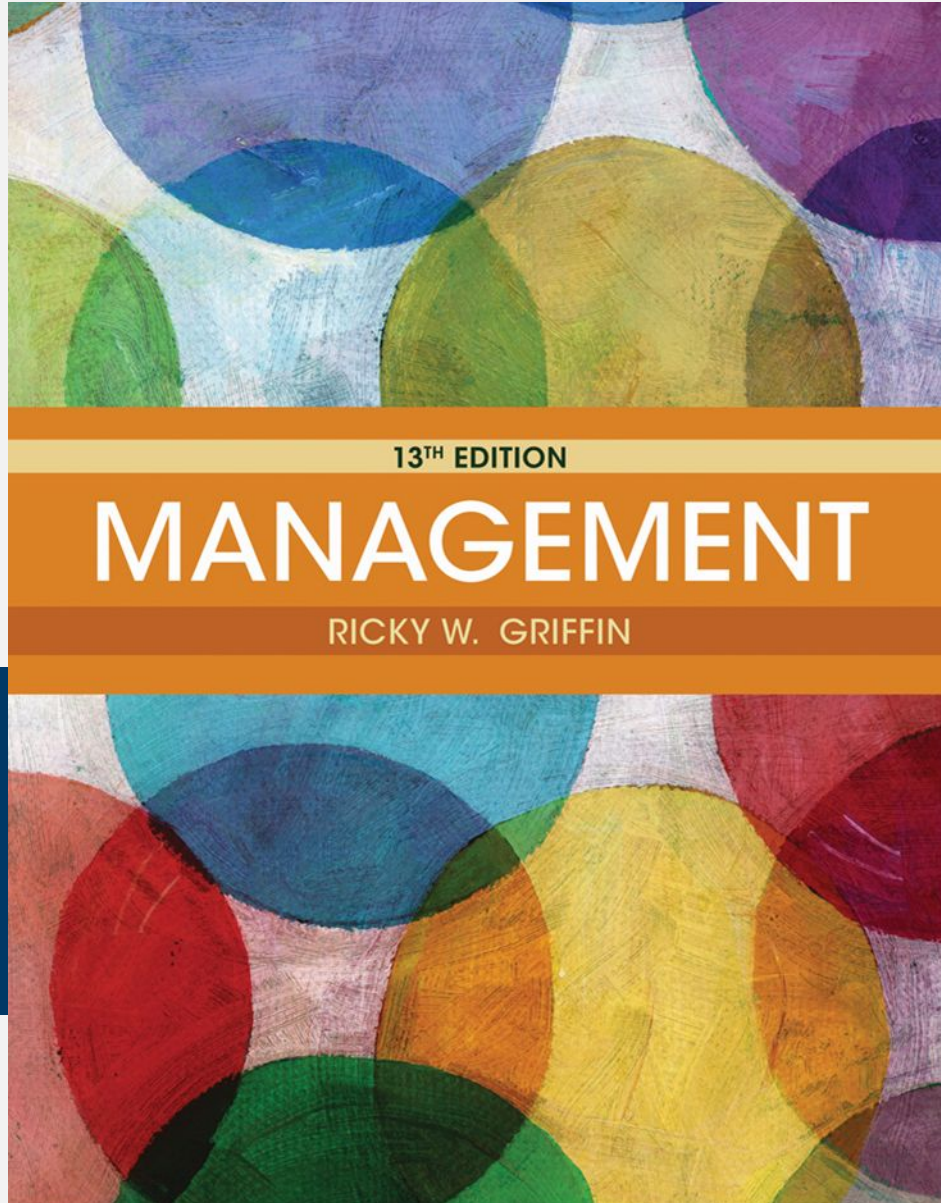




Management

Chapter Ten: Basic Elements of Organizing

Warm Up

- How do you work best? Do you enjoy tasks and jobs that are highly structured with clear processes, or do you prefer tasks that allow you to accomplish the job in the way that works best for you? Can you identify advantages to both of these alternatives?



Learning Objectives (1 of 2)

By the end of this chapter, you should be able to:

10-1: Identify the six building blocks managers use to construct an organization.

10-2: Describe the basic alternative approaches to designing jobs.

10-3: Discuss the rationale and the most common bases for grouping jobs into departments.

10-4: Describe the elements involved in establishing reporting relationships.



Learning Objectives (2 of 2)

By the end of this chapter, you should be able to:

10-5: Discuss how authority is distributed in organizations.

10-6: Discuss the coordinating activities undertaken by organizations.

10-7: Describe ways in which positions within an organization can be differentiated.



10-1 The Elements of Organizing

Organizing:

- Deciding how best to group organization activities and resources
- Organization can impact firm's competitiveness

Organization structure:

- The set of elements that can be used to configure an organization
- Includes job design, job groups, reporting relationships, authority, coordinating activities, and differentiating among positions

10-2 Designing Jobs

Job design:

- The determination of an individual's work-related responsibilities

Job specialization:

- The degree to which the overall task of the organization is broken down and divided into smaller component parts

10-2b Specialization

Benefits:

- Workers become proficient at task
- Transfer time between tasks decreases
- The narrow job definition allows for specialized equipment
- Training costs are relatively low

Limitations:

- Worker boredom and dissatisfaction
- Can lead to higher absenteeism and lower quality of work
- Anticipated benefits do not always occur
- Managers should avoid extreme specialization

Knowledge Check 1

If a firm has a critical job that is highly specialized, what advantage would the job specialization approach offer?

- A. Many others are available to take their place
- B. It is relatively easy and inexpensive to train someone new
- C. The work can be postponed until a later time

QUESTION



Knowledge Check 1: Answer

If a firm has a critical job that is highly specialized, what advantage would the job specialization approach offer?

B. When an employee who performs a highly specialized job is absent or resigns, the manager can train someone new at relatively low cost.

- Other benefits include workers becoming very proficient at each task, reduced transfer time between tasks, and ease of developing specialized equipment to assist with that job. Although specialization is generally thought of in terms of operating jobs, many organizations also extend the basic elements of specialization to managerial and professional levels.

ANSWER



10-2c Alternatives to Specialization (1 of 2)

- **Job rotation:**
 - Involves systematically moving employees from one job to another
 - Can increase flexibility and lower costs, but jobs are still boring, and satisfaction quickly wanes
- **Job enlargement:**
 - Increases the total number of tasks workers perform.
 - Though positive consequences happen, training costs increase, unions argue for more pay, and work remains boring

10-2c Alternatives to Specialization (2 of 2)

- **Job enrichment:**
 - Increases both the number of tasks and the control the worker has over the job
 - Needed changes not usually made for successful implementation
- **Work teams:**
 - Allows an entire group to design the work system it will use to perform an interrelated set of tasks

10-2c Job Characteristics Approach

- Suggests jobs be diagnosed and improved along five core dimensions
 1. **Skill variety:** Number of things a person does in a job
 2. **Task identity:** The extent to which the worker does a complete or identifiable portion of the total job
 3. **Task significance:** The perceived importance of the task
 4. **Autonomy:** The degree of control the worker has over how the work is performed
 5. **Feedback:** The extent to which the worker knows how well the job is being performed
- Growth-need strength affects how the model works

Figure 10.1 The Job Characteristics Approach

People with high growth-need strength respond strongly to this alternative.

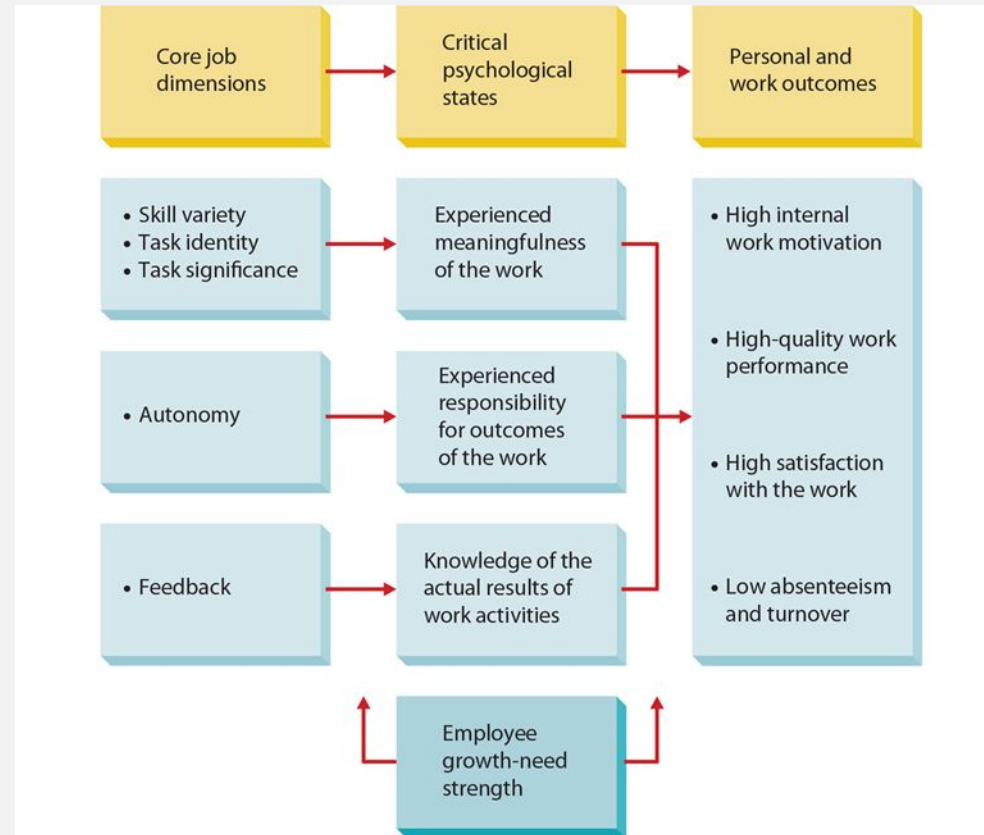


FIGURE 10.1

The Job Characteristics Approach

The job characteristics approach to job design provides a viable alternative to job specialization. Five core job dimensions may lead to critical psychological states that, in turn, may enhance motivation, performance, and satisfaction while also reducing absenteeism and turnover.

Source: J. R. Hackman and G. R. Oldham, "Motivation Through the Design of Work: Test of a Theory," *Organizational Behavior and Human Performance*, 1976, Vol. 16, pp. 250–279.

Discussion Question #1

- Why might those with high growth-need strength respond strongly to the job characteristics approach instead of the job specialization approach?



10-3 Group Jobs: Departmentalization

- **Departmentalization:**
 - The process of grouping jobs according to some logical arrangement
 - **The rationale is linked to size**
 - As growth occurs, the owner-manager can no longer oversee all workers.
 - New managerial positions oversee workers grouped according to some plan.
 - The logic in such a plan is the basis for all departmentalization.

10-3b Common Bases for Departmentalization

- **Functional departmentalization:**
 - Groups jobs by the same or similar activities
 - Most common in smaller organizations
- **Advantages include:**
 - Each department is staffed by experts
 - Facilitates supervision—narrow set of skills
 - Ease of coordinating activities inside departments
- **With growth, disadvantages emerge**
 - Decision making slows and becomes bureaucratic.
 - Employees lose sight of the organization as a system.
 - Accountability and performance are difficult to monitor.

10-3b Product Departmentalization

- **Product departmentalization:**
 - Groups activities by products or product groups
 - Larger businesses adopt this form
- **Three major advantages:**
 - Activities across products are integrated and coordinated
 - Enhances speed and effectiveness of decision making
 - Improves department accountability
- **Two major disadvantages:**
 - Managers may lose focus of the organization as a whole
 - Raises administrative costs

10-3b Customer Departmentalization

- **Customer departmentalization:**
 - Groups activities to respond to and interact with specific customers or customer groups
- **The basic advantage** is the organization's ability to use skilled specialists to deal with unique customers.
 - One set of skills evaluates business loans; another evaluates car loans.
- A fairly large administrative staff is required to integrate activities of various departments.

10-3b Location Departmentalization

- **Location departmentalization:**
 - Groups jobs based on geography
- **Primary advantage:**
 - An organization can easily respond to unique customer and environmental characteristics in various regions.
- **Primary disadvantage:**
 - A larger administrative staff is required to keep track of units in scattered locations.
- Other forms of departmentalization include time and sequence.

Figure 10.2 Bases for Departmentalization

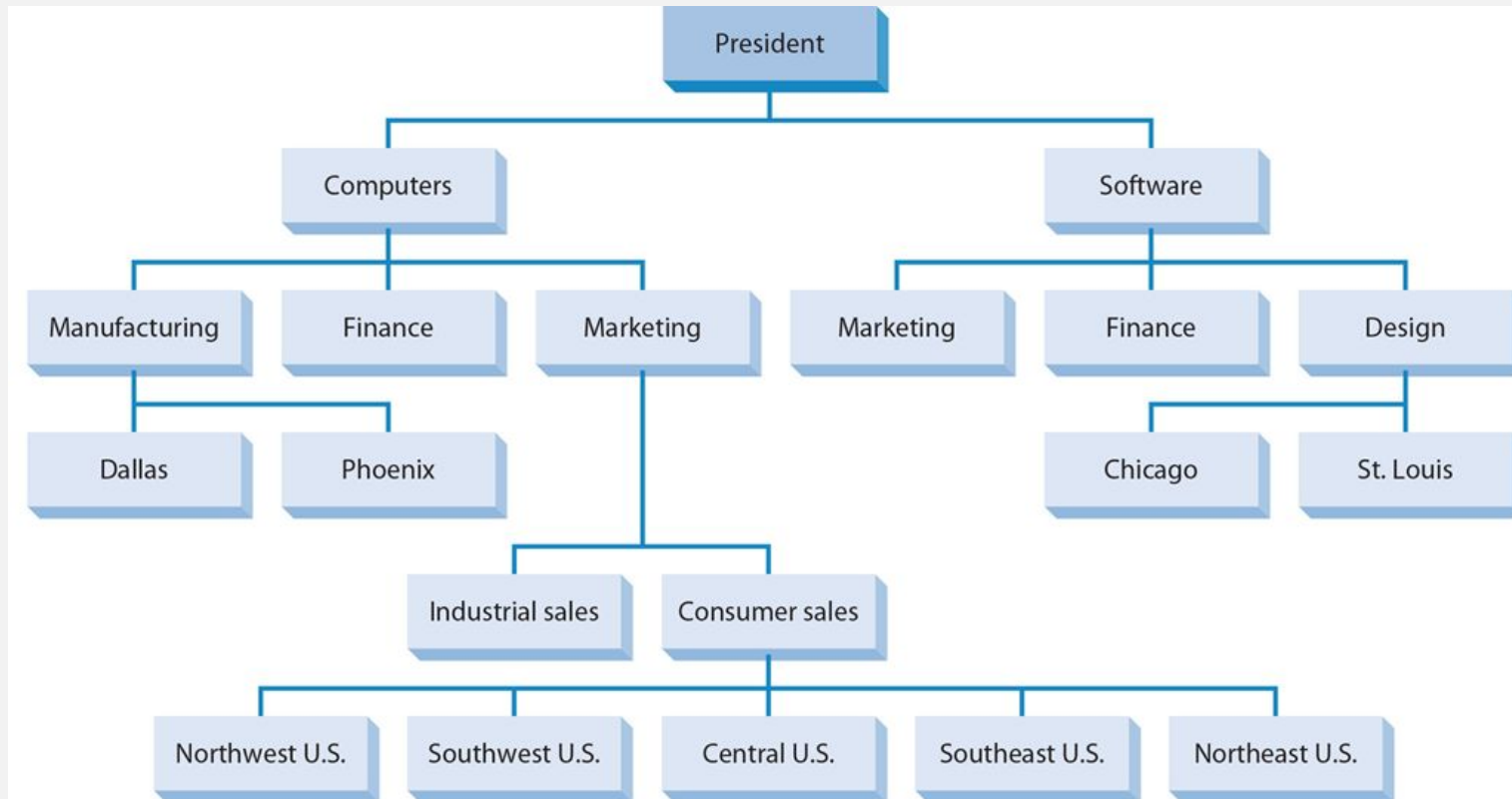


FIGURE 10.2

Bases for Departmentalization

Organizations group jobs into departments. Apex, a hypothetical organization, uses all four of the primary bases of departmentalization: function, product, customer, and location. Like Apex, most large organizations use more than one type of departmentalization.

Discussion Question #2

- What disadvantages are there when a sales and marketing staff is based on customer departmentalization? Are there any advantages? Which type of departmentalization might work better?



10-3b Considerations of Job Groupings

- **Common synonyms for department include:**
 - Divisions, units, sections, or bureaus
- Any organization may employ multiple bases of departmentalization, depending on level.
 - The role of social media is beginning to impact departmentalization.

10-4a Chain of Command

- **Chain of command:**
 - A clear and distinct line of authority among the positions in an organization
 - Includes two distinct components:
 - **Unity of command:** Suggests that each person within an organization must have a clear reporting relationship to only one boss
 - **Scalar principle:** Suggests that there must be a clear and unbroken line of authority that extends from the lowest to the highest position in the organization

Discussion Question #3

- Can you have unity of command or the scalar principle in organizations that place emphasis on teamwork and group goals? Why or why not?



10-4b Narrow Versus Wide Spans (1 of 2)

- **Span of management (span of control):**
 - The number of people who report to a particular manager
 - A. V. Graicunas quantified span of management
- Managers deal with three kinds of interactions:
 - **Direct**—manager's one-to-one relationship with workers
 - **Cross**—subordinates' relationship among themselves
 - **Group**—relationships between groups of subordinates
 - $I = N(2^N/2 + N - 1)$
 - I is the number of interactions with and among subordinates and N is the number of subordinates.
 - Each additional subordinate adds more complexity than the previous one.

10-4b Narrow Versus Wide Spans (2 of 2)

- Ralph C. Davis described two spans:
 - An **operative span**—up to 30 subordinates
 - For lower-level managers
 - An **executive span**, limited to nine
 - For middle and top managers
- Lyndall F. Urwick and General Ian Hamilton
 - Concluded the executive span should never exceed six subordinates

10-4c Tall Versus Flat Organizations

- **Tall organization:**
 - Many layers of management with a limited span of control
 - More expensive
 - Fosters communication problems
- **Flat organization:**
 - Wider span of management
 - Flat structures lead to higher levels of employee morale and productivity
 - Manager has more administrative responsibility

Figure 10.3 Tall Versus Flat Organizations

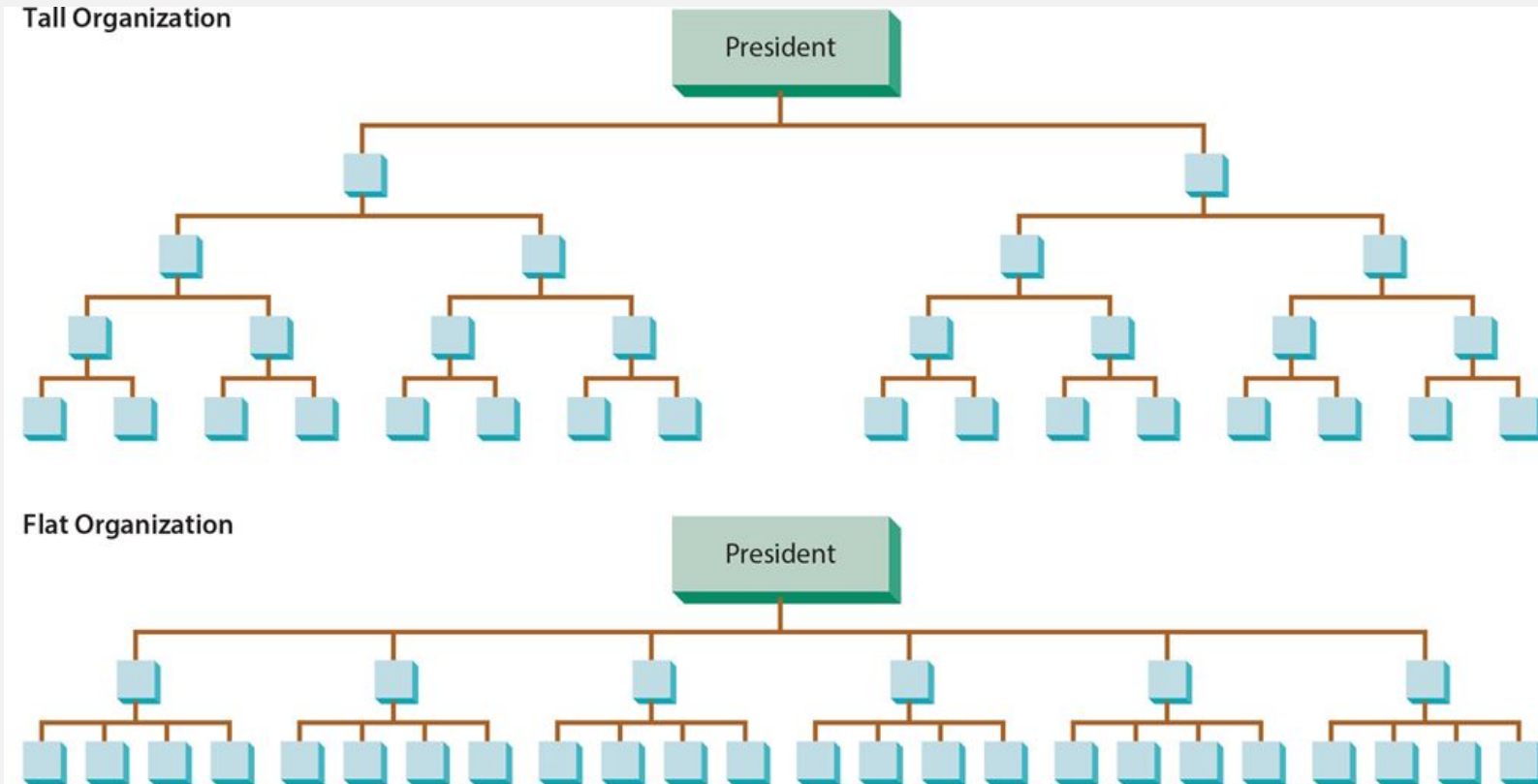


FIGURE 10.3

Tall Versus Flat Organizations

Wide spans of management result in flat organizations, which may lead to improved employee morale and productivity as well as increased managerial responsibility. Many organizations today, including IBM and General Electric, have flattened their structures to improve communication and flexibility.

10-4c Factors Influencing Span of Management (1 of 2)

- **Competence of supervisor and subordinates:**
 - The greater the competence, the wider the potential span
- **Physical dispersion of subordinates:**
 - The greater the dispersion, the narrower the potential span
- **Extent of nonsupervisory work in manager's job:**
 - The more nonsupervisory work, the narrower the potential span
- **Degree of required interaction:**
 - The less required interaction, the wider the potential span

10-4c Factors Influencing Span of Management (2 of 2)

- **Extent of standardized procedures:**
 - The more procedures, the wider the potential span
- **Similarity of tasks being supervised:**
 - The more similar the tasks, the wider the potential span
- **Frequency of new problems:**
 - The higher the frequency, the narrower the potential span
- **Preferences of supervisors and subordinates**

Knowledge Check 2

Which type of span and organization depth are you likely to find in a small company where many people pitch in to accomplish the job that needs to be done?

- A. Flat structure with a wide span
- B. Tall structure with a wide span
- C. Flat structure with a narrow span
- D. Tall structure with a narrow span

QUESTION



Knowledge Check 2: Answer

A. Flat structure with a wide span

In a small organization, you are likely to find a flat structure with a wide span of control. The flat structure encourages communication across a wide range of areas. The wide span of control indicates the ability to be responsive, make decisions quickly, and contribute to a wide variety of issues.

ANSWER



10-5 Distributing Authority

- **Authority:**
 - Power that has been legitimized by the organization
 - Normal outgrowth of increasing organizational size
- **Delegation:**
 - The process by which managers assign work to subordinates

10-5a The Delegation Process

- **Delegation**
- The primary reason is to allow the manager to get more work done.
- **The process involves three steps:**
 - The manager assigns responsibility or tasks.
 - The manager gives authority needed to do the job.
 - The manager establishes accountability.
- Problems arise when managers are unwilling or unable to delegate.

Figure 10.4 Steps in the Delegation Process

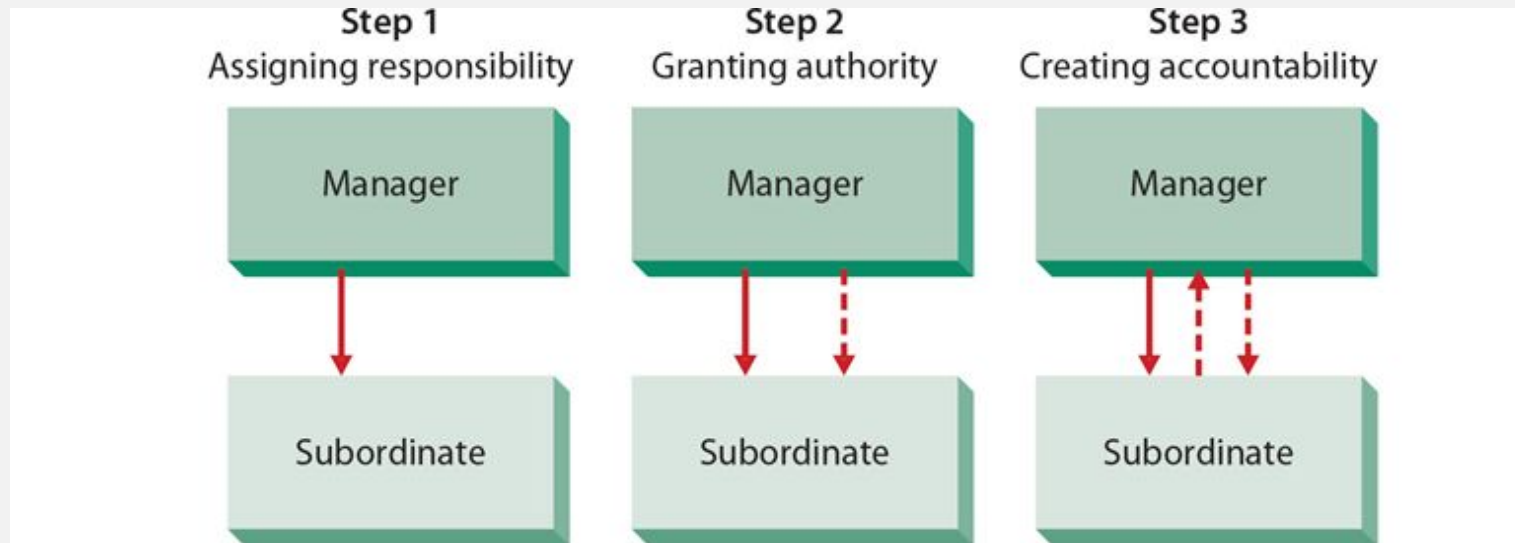


FIGURE 10.4

Steps in the Delegation Process

Good communication skills can help a manager successfully delegate responsibility to subordinates. A manager must not be reluctant to delegate, nor should he or she fear that the subordinate will do the job so well that the manager's advancement is threatened.

10-5b Decentralization and Centralization

- **Decentralization and centralization**
- **Decentralization:** Systematically delegates power and authority to lower-level managers
- **Centralization:** Systematically retains power and authority in higher-level managers
- **Determinants include:**
 - External environment, complexity and uncertainty, history, riskiness of the decision, and abilities of lower-level managers

Knowledge Check 3

- How does an organization's external environment affect its decision-making structure?
 - A. Uncertainty will be resolved with rules and procedures
 - B. Uncertainty may result in decentralization
 - C. External forces generally do not shape the structure of the decision-making process

QUESTION



Knowledge Check 3: Answer

- How does an organization's external environment affect its decision-making structure?
- One common determinant is the organization's external environment. Usually, the greater the complexity and uncertainty of the environment, the greater is the tendency to decentralize. Another crucial factor is the history of the organization. Firms have a tendency to do what they have done in the past, so there is likely to be some relationship between what an organization did in its early history and what it chooses to do today regarding centralization or decentralization. The nature of the decisions being made is also considered. The costlier and riskier the decisions, the greater the tendency to centralize.

ANSWER



10-6a Coordinating Activities

- Interdependence comes in three forms:
 1. **Pooled interdependence**
 - Occurs when units operate with little interaction; their output is pooled at the corporate level
 - The lowest level of interdependence
 2. **Sequential interdependence**
 - Occurs when the output of one unit becomes the input for another in a sequential fashion
 - Moderate interdependence, usually one way
 3. **Reciprocal interdependence**
 - Exists when activities flow both ways between units

10-6b Structural Coordination Techniques

- **Structural coordination techniques:**
- **The managerial hierarchy:**
 - Place one manager in charge of interdependent units
- **Rules and procedures** for routine activities
- Managers in **liaison roles** coordinate units
- **Task forces** for complex interdependence
- **Integrating departments** is usually permanent
- **Technology** enables coordination

Summary (1 of 2)

Now that the lesson has ended, you will have learned how to:

- Identify the six building blocks managers use to construct an organization.
- Describe the basic alternative approaches to designing jobs.
- Discuss the rationale and the most common bases for grouping jobs into departments.
- Describe the elements involved in establishing reporting relationships.



Summary (2 of 2)

Now that the lesson has ended, you will have learned how to:

- Discuss how authority is distributed in organizations.
- Discuss the coordinating activities undertaken by organizations.
- Describe ways in which positions within an organization can be differentiated.

